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FRENCH TECH FUNDING FACES A 50% DROP IN H2 2024

INSIGHTS, ANALYSIS & IMPLICATIONS FOR INVESTORS

12 Pages

3 min read

Intermediate

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1 THE FUNDING LANDSCAPE

- In **H2 2024**, French startups raised **€3bn**, down from **€5.9bn in H1**.
- This marks a **50% decline** in funding.
- Growth-stage funding **fell by 44%**, and Series D+ funding **dropped by 66%**.

Understanding the drivers of this decline is crucial for analysis.

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2 POLITICAL INSTABILITY'S IMPACT ON FUNDING

- **Snap elections** in June 2024 led to a fragmented Parliament.
- **Political turbulence** with PM changes (Barnier to Bayrou).
- Investors are **hesitant amid uncertainty**: fewer deals, increased risk aversion.

Political risk is a critical factor when performing country-level analysis.

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VC SENTIMENT IN 2024

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- Stéphanie Hospital, CEO of OneRagTime: **“We didn’t find many projects exciting.”**
- Many VCs focused on **follow-on** investments instead of new deals.
- The sentiment: **risk-off environment,** fewer investment opportunities.

Risk-off sentiment typically correlates with tightening monetary policies and political uncertainty.

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CASE STUDY - H1 VS H2 2024

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Q2 2024 saw megarounds:

- Verkor (**€1.3bn debt raise**).
- Mistral AI (**€600m Series B**).
- H Company (**$220m seed round**).

- H2 lacked these large deals, leading to a sharp drop.

Megarounds can mask underlying weaknesses; always analyze funding volume distribution.

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5 FRENCH TECH VS GERMAN TECH

- French startups raised **€8.8bn in 2024**, down from **€9.5bn in 2023**.
- Germany surpassed France with **€9.5bn in 2024**.
- After two years of leading Germany, France fell behind.

Cross-country comparative analysis helps gauge market competitiveness.

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EXCESSIVE INVESTMENTS CORRECTION

- High VC activity in 2020-2021 led to **inflated valuations**.
- Post-2022 correction: **rising interest rates, tighter capital flows**.
- France's correction **delayed to 2023-2024**.

The boom-bust cycle highlights the importance of valuation discipline in tech investing.

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7 THE DOUBLE MARKET EFFECT

- **15 megarounds** accounted for €4.1bn of funding in 2024.
- Smaller startups **struggled to secure capital**.
- A **"double market"** emerged: megarounds vs underfunded smaller firms.

Market bifurcation poses challenges for diversified investment strategies.

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8 FOUNDERS' RELUCTANCE

Fewer Entrepreneurs Entering the Market

- Economic and political uncertainty deterring new startups.
- Pre-seed and seed-stage opportunities are scarce.
- Reduced market entry leads to fewer investable opportunities.

Founder activity is a leading indicator for early-stage investment potential.

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9 PROFITABILITY METRICS IN FOCUS

VCs Demand Sustainable Growth

- Emphasis on **unit economics**, **burn rates**, and **profitability**.
- **Term sheets** are **less favorable** to founders.
- **Bridge rounds** with existing investors are **common**.

Assessing financial sustainability is key in startup valuations.

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KEY INDICATORS FOR INVESTMENT DECISIONS

Metrics to Watch out for:

- Revenue Growth Rates
- Gross Margins
- Runway and Burn Rate
- Market Share and TAM (Total Addressable Market)

These indicators can also be crucial for viability of investments in uncertain markets.

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LOOKING AHEAD TO 2025

Signs of Recovery?

- VCs like OneRagTime are **optimistic about early 2025**.
- Early-stage deals show **potential recovery**.
- Monitoring **political stability, interest rates**, and **market sentiment** will be cruicial

Forward-looking analysis is essential in volatile environments.

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TAKE A MOMENT TO REFLECT...

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- In a market correction, what adjustments would you make to traditional valuation models to reflect the risk-return profile of French startups?

- How can VCs ensure they aren't over-correcting and missing high-potential opportunities during a downturn?

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Read.
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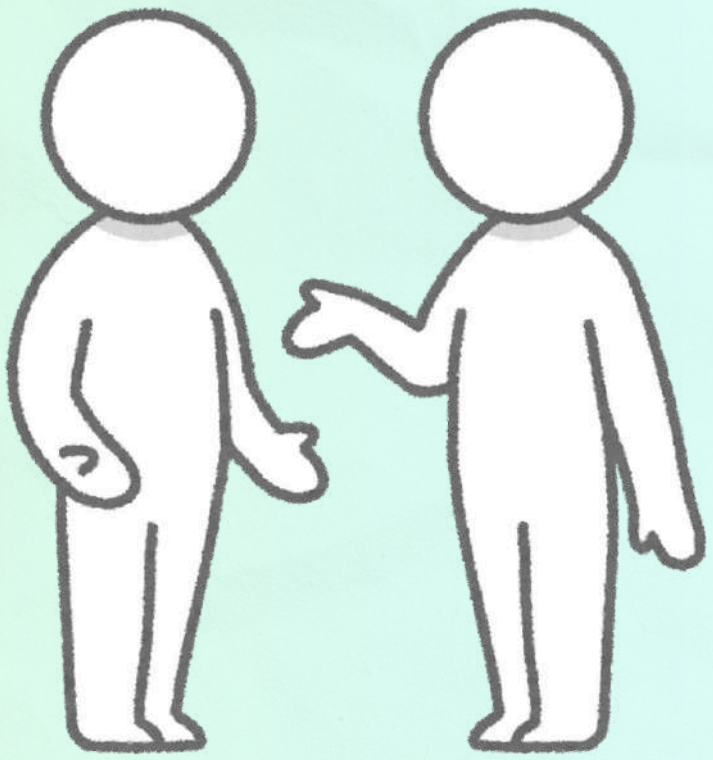
Rise.



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Source: Sifted